▲ **Insignia of the Bombay, Baroda & Central India Railway, 1855**

Disadvantages of the system

Soon, however, the drawbacks of the Guarantee System became visible and criticism followed. Since the Government relieved the shareholders of all risk, it killed the latter's urge to economize, promoting recklessness that engulfed India in liabilities much beyond its means.

In the two decades since the inception of the railways in India, the country had a mere 6,464 km of railway lines opened, with another 3,284 km of tracks under construction. The Revolt of 1857 (see Revolts and The Railways) halted the process till 1859, but the average annual addition for two decades was only 431 km, which was far below the Government's expectations. Moreover, the revenue of the country during the mid-1800s was barely sufficient to meet the current investments. The Revolt had unhinged the financial equilibrium of British India entirely. In 1857, the public debt of the country stood at about £60 million. By 1863, this had risen to £110 million. The original cost of construction was estimated to be £15,000 per mile for a double line and £9,000 for a single line. But, it was discovered that, at the construction stage, the trunk line cost worked out to more than £20,000 per mile. The rise in the exchange rate of the Indian Rupee vis-à-vis Sterling